ANALYSIS REPORT | REAL ESTATE INVESTMENT

STUDIO UNITS AS A BOARDING HOUSE

Is it worth changing the business model?

Law • Taxation • Permits • Design • Returns

English edition — revised for Complementary Law No. 214/2025

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READING GUIDE

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ABOUT THIS EDITION

English edition of the Portuguese report “Kitnets como pensionato”. It covers Brazilian law and Brazilian taxes. Quotations from statutes are free translations; the Portuguese text of the law prevails. Amounts are in Brazilian reais (R$). This revised edition reflects the new wording of art. 17, XV, of Complementary Law No. 123/2006, introduced by Complementary Law No. 214/2025. Sources checked on 25 October 2026.

Tax classification does not replace a legal, operational and financial analysis of the project.

BEFORE YOU READ

Brazilian terms used in this report

Names with no exact English equivalent are kept in Portuguese.

Term	Meaning
Kitnet	Small studio apartment: one room with a kitchenette and a bathroom
Pensionato / pensão	Boarding house
Simples Nacional	Simplified tax regime for micro and small businesses, paid in one monthly slip (DAS)
Lucro presumido	Presumed-profit regime: income taxes are levied on a margin set by law
ISS	Municipal tax on services
IBS / CBS	New consumption taxes created by the tax reform (a dual VAT), replacing PIS, Cofins, ICMS and ISS
CNAE	Official classification of economic activities
Cadastur	Federal registry of tourism service providers
Habite-se	Occupancy permit
ME / EPP	Micro and small businesses
STF	Brazil's Supreme Federal Court

OVERVIEW

Studio units as a boarding house: is it worth changing the business model?

Registering a building of studio units as a boarding house does not, by itself, guarantee a 6% tax rate. The classification only holds if the activity is genuinely lodging — and that changes the contract, the permits, the design and the operating costs.

Building studio units — *kitnets*, as they are called in Brazil — for rent looks simple: land, design, construction and rent. But one earlier decision can change whether the project works: will the property be run as a residential lease or as a lodging service?

The same floor plan can serve both models. The difference shows up in the contract, taxes, permits and costs, and in requirements of the design itself, such as accessibility and fire safety.

To answer whether the change is worth it, this report looks at three things: the nature of the activity, its legal classification and the financial result.

CONCEPTS

1. A residential studio and a boarding house are different businesses

In a lease, the investor grants the use of the property; in lodging, the investor provides a service that includes accommodation. That difference decides which law applies, which tax is due and how much it costs to operate.

- **Residential lease.** The investor makes the unit available, as a rule under a contract governed by the Tenancy Law. Revenue is the rent; electricity, water, condominium fees and property tax (IPTU) are usually paid by the tenant.

- **Boarding house or lodging.** The business provides accommodation with services — cleaning, bed linen, internet, front desk and sometimes meals. The price is a single amount that already includes them.

Length of stay alone does not define the activity. What counts is the nature of the contract, the services actually provided and the license to operate.

Brazil's Supreme Federal Court reinforced this distinction when it ruled on ADI 5764 (2023): a lodging relationship is not the same as a property lease. That is why a furnished studio rented by the month does not become a boarding house just by renaming the contract.

LAW

2. What does the Tenancy Law say?

Law No. 8,245/1991 only excludes establishments that meet two conditions at the same time: they provide regular services and they are licensed to operate as such. Without both, occupancy tends to be treated as a lease.

- **Art. 1, sole paragraph, item a, 4.** Leases in apart-hotels, residence hotels or equivalent establishments remain governed by the Civil Code and special laws — "understood as those that provide regular services to their users and are licensed to operate as such." Boarding houses are not named: if they qualify, it is as an "equivalent" establishment, which depends on how they actually operate.
- **Art. 2, sole paragraph.** Occupants of collective multi-family dwellings are presumed to be tenants or subtenants. A building with several units occupied by long-term residents, with no services and no lodging license, falls under this presumption.
- **Art. 45.** Lease clauses intended to defeat the purposes of the law are void. Calling the contract "lodging" does not strip the occupant of tenant protections, such as eviction only through the courts.

> **IN PRACTICE**
> The longer the stay and the leaner the service, the more the operation looks like a lease — whatever the contract is called.

CLASSIFICATION

3. What makes a boarding house?

Brazil's official activity classification (CNAE) has two possible codes, and student boarding houses appear under the second. Neither code, on its own, authorizes the business to operate.

CNAE code	What it covers	Simples Nacional
5590-6/03 — Boarding houses (pensões)	Accommodation in boarding houses, with or without meals	Allowed, Annex III, no Factor R
5590-6/99 — Other accommodation	In the IBGE notes: non-tourist collective accommodation, such as student houses and boarding houses; also short-term rental of residential property	Allowed, Annex III, no Factor R

Serving meals is not required to use 5590-6/03. The accountant chooses the code based on the actual operation.

The General Tourism Law (Law No. 11,771/2008, as amended by Law No. 14,978/2024) defines a lodging establishment by the whole package: temporary accommodation, units for the guest's exclusive use, services, an express or implied contract and a daily rate (art. 23). For those that qualify:

- **Cadastur**, the federal tourism registry, is mandatory (art. 22), free and valid for two years; operating without it leads to a warning and a fine (art. 41);
- booking platforms may only list registered lodging establishments (art. 22, § 6);
- the establishment is strictly and jointly liable for damage caused by the services it provides (art. 23, § 7).

> **THE TENSION IN THE MODEL**
> A student boarding house, with a monthly price and long stays, is classified by IBGE as "non-tourist" accommodation and moves away from the temporary lodging defined in the Tourism Law. The further it moves, the harder it is to argue that it falls outside the Tenancy Law.

TAXATION

4. Is it possible to pay only 6% in taxes?

Only in the first bracket of the Simples Nacional, and only if the activity is genuine lodging. A building of ten studios at R$ 1,500 a month already earns R$ 180,000 a year — the ceiling of that bracket.

Why lodging can be in the Simples

Lodging is a service subject to ISS, the municipal service tax: item 9.01 of the list in Complementary Law No. 116/2003 expressly names boarding houses. Accommodation activities are taxed under Annex III of the Simples Nacional — Brazil's simplified tax regime for small businesses — whose first bracket has a nominal rate of 6% up to R$ 180,000 of gross revenue over 12 months.

Leasing your own property is now excluded, with no exception

> **CHANGE BROUGHT BY COMPLEMENTARY LAW NO. 214/2025**
> Much of what is published still says the ban has an exception for services subject to ISS. That has changed. Complementary Law No. 214/2025 rewrote art. 17, XV, of Complementary Law No. 123/2006: the Simples is now barred to a company "that leases its own real estate," with no exception. The change has applied since 1 January 2025 (art. 544, II, of Complementary Law No. 214).

The Federal Revenue Service's Simples Q&A (*Perguntas e Respostas*), in its October 2026 version, still reproduces the old wording in questions 2.2 and 2.21. The document itself warns that it is being updated; the text of the law prevails.

In practice: genuine lodging remains a service, not a lease. But if the tax authority concludes that the operation is rent under another name, there is no longer any exception to keep it in the Simples — the result is removal from the regime and a demand for the unpaid tax.

The rate rises with revenue

In the Simples, the effective rate is (12-month revenue × nominal rate - deduction) ÷ 12-month revenue (Complementary Law No. 123, art. 18, § 1-A, and Annex III). The unit counts and prices below are illustrative.

12-month gross revenue	Example	Annex III bracket	Effective rate
R$ 180,000	10 units × R$ 1,500/month	1st — 6%, no deduction	6.00%
R$ 216,000	10 × R$ 1,800	2nd — 11.2%, deduction R$ 9,360	6.87%
R$ 288,000	12 × R$ 2,000	2nd — 11.2%, deduction R$ 9,360	7.95%
R$ 360,000	15 × R$ 2,000	2nd — 11.2%, deduction R$ 9,360	8.60%
R$ 480,000	20 × R$ 2,000	3rd — 13.5%, deduction R$ 17,640	9.83%
R$ 720,000	30 × R$ 2,000	3rd — 13.5%, deduction R$ 17,640	11.05%

Own calculation based on Annex III of Complementary Law No. 123/2006. Illustrative examples, before vacancy and bad debt.

Four cautions

1. **Registration does not decide the classification.** The activity actually carried out does.
2. **6% is only the first bracket.** As the table shows, a mid-sized building already pays between 7% and 10%.
3. **The tax is levied on gross revenue**, not on the profit left for the investor.
4. **In lodging, everything in the price is revenue.** Electricity, water, internet, cleaning and linens enter the tax base; in a lease, these bills are usually paid directly by the tenant.

What the tax reform changes

- **Inside the Simples:** from 2027, IBS and CBS — the new consumption taxes created by the reform — are collected in the DAS, the single monthly payment, in place of PIS and Cofins, and the regime's nominal rates stay the same (Complementary Law No. 123, art. 18, § 1-C). Companies may choose to pay IBS and CBS outside the Simples, opting in September or March.
- **Outside the Simples:** residential leases get a 70% reduction in IBS and CBS rates and a social deduction of R$ 600 per property per month (Complementary Law No. 214, arts. 260 and 261). Hotels and lodging get a 40% reduction, with no social deduction (arts. 277 and 278). Residential leases of up to 90 days follow the hotel rules (art. 253).
- **Individuals:** only become liable for IBS and CBS on rent with revenue above R$ 240,000 a year and more than three properties (art. 251, § 1).

For those outside the Simples, the reform tends to favor residential leasing of small units over lodging.

COMPARISON

5. What are the practical differences?

Lodging can open the door to the Simples Nacional, but it adds services, permits, design requirements and liability. A lower tax burden alone does not prove that the model pays better.

Criterion	Residential lease	Boarding house / lodging
Revenue	Rent	Price of accommodation and included services
Contract	Lease (Law No. 8,245/1991)	Lodging; outside the Tenancy Law only with regular services and a license to operate

Criterion	Residential lease	Boarding house / lodging
Simples Nacional	Barred for own property (Complementary Law 123, art. 17, XV)	Allowed for accommodation activities, Annex III
Municipal tax	No ISS on rent	ISS, item 9.01 of Complementary Law 116/2003, until the transition to IBS
Reform, outside the Simples	IBS/CBS with a 70% reduction and a deduction of R$ 600 per property per month	IBS/CBS with a 40% reduction, no deduction
Services	Not part of the lease	Part of the offer: cleaning, linens, internet, front desk, meals
Liability	The landlord's, under the law and the contract	Strict and joint liability for damage from services (Law 11,771, art. 23, § 7), plus the Consumer Protection Code
Fire safety (São Paulo State)	A-2, multi-family housing	A-3 (boarding house up to 16 beds) or B-1 (pensões; boarding houses over 16 beds)
Accessibility	Residential building rules	Micro and small businesses: 5% of rooms accessible, at least one (Decree 9,405/2018)
Tourism registry	Not applicable	Cadastur mandatory for lodging establishments
Management	Tenants and leases	Guests, bookings and service routines

PERMITS

6. Permits: what to check before you build?

The operating model must be defined before the design is approved: lodging and housing are different uses, with different requirements. Changing after the occupancy permit (*habite-se*) means new permits and, often, new building work.

1. **Zoning.** Check the municipal zoning rules to confirm that lodging is allowed at the address. A lot approved for multi-family housing may not allow accommodation services.
2. **Fire safety.** Under the São Paulo State Fire Safety Regulation (Decree No. 63,911/2018, Table 1), residential studios are class A-2; a boarding house with up to 16 beds is A-3; pensões and boarding houses with more than 16 beds are B-1. Ten units with double beds already add up to 20 beds — and the class sets the required measures.
3. **Accessibility.** Hotels, inns and similar establishments must follow universal design (Decree No. 9,296/2018). For micro and small businesses, Decree No. 9,405/2018 applies: 5% of rooms accessible, at least one unit, and an accessible route. In a ten-studio building, that is an entire unit designed for wheelchair use.
4. **Operating license.** A municipal permit for the lodging activity and, if meals are served, a health permit.
5. **Tourism registry.** Cadastur, if the operation is a lodging establishment under the General Tourism Law. It does not replace the permits above.
6. **Tax setup.** CNAE code, tax regime and filing obligations, defined with the accountant.

Permitting is part of the business plan: it changes the construction cost, the time until revenue starts and whether the business can operate at all.

RETURNS

7. How to compare the returns of the two models?

Compare net results, not tax rates. Lodging's tax advantage must comfortably cover the cost of the services it requires.

Where the two models differ

Line	Residential lease	Lodging
Revenue	Rent; utilities, property tax and condominium fees are usually the tenant's	A single price that already includes utilities and services
Tax on revenue	Outside the Simples: individuals pay progressive income tax; companies under presumed profit pay about 11.3% in 2026	Simples, Annex III: from 6% to 11.05% depending on revenue (table in section 4)
Costs only lodging has	—	Cleaning, linens, electricity, water, internet, front desk or management, platform fees, furniture replacement
Typical risks	Bad debt, court eviction, vacancy between leases	Variable occupancy, academic calendar, tax reclassification

The 11.3% for companies under presumed profit combines corporate income tax, IRPJ (15% on a 32% presumed margin), CSLL (9% on 32%) and cumulative PIS/Cofins (3.65%). Valid for 2026: in 2027, PIS and Cofins give way to CBS.

Illustrative example — ten units

> **HYPOTHETICAL ASSUMPTION: REVENUE OF R$ 18,000 A MONTH (R$ 216,000 A YEAR) IN BOTH MODELS**
> Lodging under the Simples: effective rate of **6.87%**.
> Leasing through a company under presumed profit: about **11.33%**.
> Difference: about **R$ 9,600 a year**, or **R$ 80 per unit per month**.

That amount has to pay for each unit's electricity, internet, cleaning, linens and management — and still leave a margin. If it doesn't, the model with the lower tax rate earns less.

Variables for comparing scenarios

Variable	Question to answer
CAPEX	How much does it cost to build and permit each model, including the accessible unit and fire-safety measures?
Timeline	When does the project start generating revenue?
Revenue	What is realistic revenue after vacancy or average occupancy?
OPEX	How much does it cost to maintain and run the operation?
Taxation	What is the effective tax burden of each option, today and after 2027?
Risk	What is the exposure to bad debt, seasonality, costs and regulatory change?
Scale	Do more units improve the result, or push revenue into higher Simples brackets?

Scenarios need written, consistent assumptions. Apart from the tax example above, this report does not model returns.

BUILDING SYSTEM

8. Where does Light Steel Framing fit into this analysis?

The building system does not define the tax model or guarantee returns. It changes investment variables — timeline, repeatability, cost predictability — that need to be measured and compared.

Light Steel Framing can be used both for studio units for lease and for lodging projects. In projects with repeated units, panel modulation, early coordination of building services and planned assembly favor standardized execution.

A chain of consequences — not a promise

TECHNICAL FEATURE
Modular components and planned fabrication.

POSSIBLE PRACTICAL CONSEQUENCE
Greater repeatability and less rework.

POSSIBLE ECONOMIC CONSEQUENCE
More predictable cost and an earlier start of operations.

These results depend on the quality of the designs, crew training, logistics and material supply.

Three decisions in this report affect the modulation and must be settled before the panels are designed: the accessible unit, the building's fire-safety class and the position of bathrooms and service areas. In any building system, changing them later costs more.

Acoustic performance between units, thermal performance and fire resistance belong to the complete system — structure, cladding, insulation, building services and execution details — not to the steel stud alone. In buildings with several units, acoustics between neighbors and fire safety deserve special attention.

STRATEGY

9. When does each model make more sense?

Leasing suits those who want contractual income and little day-to-day operation; lodging suits those with proven demand for serviced stays and the structure to manage them.

- **Residential lease:** relatively predictable contractual income, low service intensity and long-term residents.
- **Lodging:** provable demand for temporary stays, professional management, a suitable design and enough revenue to cover operating costs and risks.
- **Leasing the whole building to an operator:** the investor leases the entire property to a company that runs the lodging. The Tenancy Law itself provides for properties intended for hotel or boarding-house operation (art. 47, IV). The investor receives rent, outside the Simples; the operating risk stays with the operator.

Location, user profile, municipal rules and scale also matter. A project for students calls for different commercial and operational choices than one for business travelers or tourists.

CONCLUSION

10. Conclusion: it is not just about taxes

Registering a studio building as a boarding house is not, by itself, a tax-saving strategy. The classification must reflect a real, permitted and properly structured activity — and since Complementary Law No. 214/2025, leasing one's own property no longer has any way into the Simples.

More important than the lowest tax rate is the best net result for that plot, that audience and that investment. Before building, assess the intended use, design, permits, costs and revenue potential together.

> **THE BUSINESS MODEL DRIVES THE DESIGN, NOT THE OTHER WAY AROUND**
> Before deciding, validate the classification with a lawyer and an accountant, and the design with an engineer or architect.

SOURCES

References and official sources

Accessed on 25 October 2026. All sources are in Portuguese.

1 Law No. 8,245/1991 — Tenancy Law, arts. 1, 2, 45 and 47.
2 Law No. 11,771/2008 — General Tourism Law, as amended by Law No. 14,978/2024, arts. 2, 21 to 24 and 41.
3 Complementary Law No. 123/2006 — Simples Nacional, art. 17, XV, art. 18 and Annex III.
4 Complementary Law No. 214/2025 — tax reform, arts. 251, 253, 260, 261, 277, 278, 516 and 544.
5 Complementary Law No. 116/2003 — ISS, list of services, item 9.01.
6 Supreme Federal Court, ADI 5764 — ISS on lodging, decided in 2023.
7 IBGE/CONCLA — CNAE 5590-6/03, Boarding houses and notes to CNAE 5590-6/99.
8 Federal Revenue Service — Simples Nacional Q&A, version partially updated in October 2026.
9 Ministry of Tourism — Cadastur
10 Decree No. 9,296/2018, accessibility in hotels, inns and similar establishments.
11 Decree No. 9,405/2018, accessibility for micro and small businesses, art. 4.
12 São Paulo State Decree No. 63,911/2018 — Fire Safety Regulation, Table 1.

> **KEEP LEARNING**
> This report is part of the Studio Units block in the Investment Market module of steelframing.com.br, with analyses of costs, building systems, permits and feasibility. steelframing.com.br — technical knowledge for better decisions.

For information only. Before making an investment decision, validate the classification with a lawyer and an accountant, especially regarding municipal rules and the tax-reform transition.